

PICKING THE WINNERS

THE METHODOLOGY BEHIND THE BT INDIA'S MOST SUSTAINABLE COMPANIES 2026 RANKING

BY CARE ESG RATINGS

FOR THIS YEAR'S edition of India's Most Sustainable Companies, CareEdge, like in 2025, developed a comprehensive assessment framework. Incorporating both quantitative metrics and qualitative factors. Relying on publicly available disclosures, CareEdge shortlisted the top three performers for each of the award categories, from a universe of the top 1,000 listed companies.

In the case of manufactur-

ing, we narrowed it to down to 11 categories: automobiles, capital goods, cement, chemicals, FMCG, infrastructure, logistics and ports, metals and mining, oil and gas, power generation, realty, and two from BFSI—banks and small finance banks, and non-banking financial companies.

Finally, there were three in leadership: best ESG performer, disclosures performer and sustainability leadership.

The preliminary screening kicked off with the top 1,000 listed companies based on market capi-

talisation, leading to manufacturing, BFSI being shortlisted for this year's awards.

Then, the companies within the sector were shortlisted based on the similarity in their business models. A total of 255 companies made the cut here.

EVALUATION CRITERIA

The assessment predominantly focused on publicly available data on disclosures for FY25 across policy framework, strategy statements, exhaustive initiatives and quantitative sustainability performance metrics of the companies. Additionally, the assessment framework incorporated companies' transition performance from FY24 to FY25. The final sustainability standing factored in the aggregate scores using theme weights and core category weights, based on their sectoral relevance. As a final step, the names of the Top 3 or Top 5 companies in each category were placed before the jury for final deliberation. **BT**

THE CORE CATEGORIES

To arrive at the rankings, companies were assessed on the basis of core categories across environment and social themes based on their materiality. The categories are:

ENVIRONMENT	SOCIAL	GOVERNANCE
Biodiversity	Human rights	Board composition
Carbon and other emissions	Human capital	Board functioning
Energy efficiency	Employee health and safety	Business ethics
Effluent and waste	Community support and development	Oversight on ESG
Water usage and management	Product safety and quality	Remuneration
Climate stewardship	Consumer protection	Reporting, filing and disclosures
Raw material sourcing	Value chain	
Green value chain	Privacy and data security	
Packaging materials		